Countable, Exempt, Look-Back, Level of Care

The Medicaid words you'll hear, in one plain line each, and what to write down about each.

People who know Medicaid use words like countable, exempt, look-back and community spouse as if everyone did. These are the eighteen you're most likely to hear, each described from a public source, with what to write down when it comes up.

The descriptions are for following the conversation. They carry no figures and no limits, because those vary by state and change, and they aren't for working out where Mom stands yourself.

The program

Medicaid

A joint federal and state program that helps people with low income and assets pay for some or all of their health care bills. Eligibility rules and covered services vary from state to state. [1]

WRITE DOWN The state Mom lives in.

Medicare

A different program from Medicaid. Medicare.gov says plainly that Medicare doesn't pay for long-term care. [2]

WRITE DOWN What coverage Mom has today, copied from her cards.

Long-term care (custodial care)

Medical and non-medical care for people who have a chronic illness or disability. Most of it is help with the basic personal tasks of everyday life, like dressing and bathing, and it can be given at home, in the community, in assisted living or in a nursing home. [2]

WRITE DOWN What Mom does on her own today, and anything she gets a hand with.

Care and the basics

Financial eligibility

An assessment of a person's available income and assets to see whether they meet Medicaid's eligibility requirements. [3]

WRITE DOWN Nothing to work out. A list of what Mom has, by name, is your part.

Functional eligibility

An assessment of a person's care needs, for Medicaid payment of long-term care services. It may look at the ability to perform activities of daily living or the need for skilled care. [3]

WRITE DOWN What Mom manages on her own and where she gets help, with the date.

Level of care

For Medicaid's purposes, long-term care services are those for a person who requires a level of care equivalent to that received in a nursing facility. Where that line sits varies by state. [3] [4]

WRITE DOWN A description of her days, not a judgment about whether she would meet it.

Residency

People generally must be residents of the state where they receive Medicaid. [5]

WRITE DOWN Her current address, and any move the family has talked about.

Income and assets

Income

Regular money coming in, such as Social Security, veterans benefits, pensions, interest and dividends. A state counts some of a person's income, but not all of it. [6]

WRITE DOWN Each source by name, and where its letter or statement is kept.

Countable assets

Assets whose value is counted in determining financial eligibility for Medicaid. [3]

WRITE DOWN Nothing to sort. List each item; a professional says which are countable in Mom's state.

Exempt assets

Also called non-countable assets: assets whose value is not counted in determining financial eligibility for Medicaid. [3]

WRITE DOWN The same list. Don't mark anything exempt yourself.

Jointly owned asset

Something owned with another person. Its full value may be counted as belonging entirely to the person applying. [6]

WRITE DOWN Every name on each account, title and deed.

The home, a spouse and transfers

Equity value

The fair market value of a property minus any liabilities on it, such as mortgages or loans. States have varying rules about home equity. [3] [4]

WRITE DOWN Whose name is on the deed, and whether there's a mortgage or other loan. You don't need to arrive at a number.

Community spouse

The spouse of a nursing home resident who is applying for or receiving Medicaid long-term care services. Federal spousal impoverishment provisions protect a certain amount of a couple's combined resources for that spouse, and the amounts are updated from year to year. [3] [7]

WRITE DOWN Whether Mom is married, and what is in whose name. How the provisions would apply is a question for a professional.

Transfer of assets

Giving away property for less than it is worth. [3]

WRITE DOWN Anything given away, sold to a relative or retitled: what, roughly when, to whom, and what paper exists.

Look-back period

A period of time before a person applies for Medicaid payment of long-term care services. The Medicaid agency looks at whether assets were transferred during that period in a way that could affect that payment for a time. [3]

WRITE DOWN Nothing to calculate. Ask a professional how the period works in Mom's state.

Estate recovery

The process by which Medicaid recovers money from the estate of a person who received Medicaid, after that person's death. It is a separate matter from qualifying. [3] [8]

WRITE DOWN A question for an elder law attorney: how does this work in Mom's state?

Who you'll ask

State Medicaid office

Also called the State Medical Assistance office. States run Medicaid day to day, including taking applications and deciding eligibility, and this office is the best source for how to qualify in a given state. [1] [10]

WRITE DOWN The name and phone number of the office for Mom's state, so you have it.

Elder law attorney

An attorney who deals daily with the issues surrounding old age. The Administration for Community Living lists exploring a person's qualifications for Medicaid among the ways one can help. [9]

WRITE DOWN Whether Mom already has one, and the name.

What this sheet doesn't do

It describes words. It doesn't say which of them apply to Mom, how anything she owns would be treated, or whether she would qualify. Those answers come from your Medicaid planner and the other professionals who know her state. Nothing here is legal, financial or tax advice.

Ready for the next step?

You can follow the conversation now, and you've noted a few things beside the words. The planning interview covers the same ground in plain questions, one part at a time, and gives you a free planning report you can bring to any conversation about paying for care.

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WHERE THIS COMES FROM

1. Administration for Community Living (LongTermCare information), Medicaid
2. Medicare.gov (Centers for Medicare & Medicaid Services), Long Term Care Coverage
3. Administration for Community Living (LongTermCare information), Glossary
4. Justice in Aging, Medicaid Home and Community-Based Services for Older Adults: A Primer
5. Medicaid.gov (Centers for Medicare & Medicaid Services), Eligibility Policy
6. Administration for Community Living (LongTermCare information), Medicaid Eligibility
7. Medicaid.gov (Centers for Medicare & Medicaid Services), Spousal Impoverishment
8. Administration for Community Living (LongTermCare information), Medicaid Estate Recovery
9. Administration for Community Living (LongTermCare information), Will I Need a Lawyer?
10. Administration for Community Living (LongTermCare information), Applying for Medicaid